STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	**Case 19-G-0309**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a Brooklyn Union of L.I. for Gas Service	**Case 19-G-0310**

Prepared Rebuttal Testimony of

Alexandra Fisher

On Behalf of

The City of New York

September 18, 2019

INTRODUCTION

Q. PLEASE STATE YOUR NAME, OCCUPATION AND BUSINESS ADDRESS.

A. Alexandra Fisher, Deputy Commissioner, Legal & Regulatory Affairs, New York City Department of Buildings, or "DOB," 280 Broadway, New York, NY 10007.

Q. ON WHOSE BEHALF ARE YOU SUBMITTING THIS TESTIMONY?

A. The City of New York, or "City."

Q. PLEASE DESCRIBE YOUR EDUCATIONAL BACKGROUND AND PROFESSIONAL EXPERIENCE.

A. I received a Bachelor of Arts in Economics from New York University in 1992 and a Juris Doctor from Brooklyn Law School in 1997.

I have been in my current position since October 2014. In this role, I am responsible for providing legal, policy and general guidance to the DOB Commissioner, senior and other agency staff on a wide range of issues that impact DOB. This includes the analysis of proposed and enacted legislation, code and rule drafting and oversight of licensing operations. I work closely with DOB personnel and other experts to ensure that my guidance is technically sound. Prior to this position, I held legal roles of increasing responsibility in several City agencies including the Office of Administrative Trials and Hearings, the Fire Department, the Department of Correction, and the Office of Payroll Administration. This is my second position with DOB – I also served as Senior Policy Advisor from 2009 to 2012.

Q. HAVE YOU EVER TESTIFIED BEFORE ANY AGENCY OR COURT OR IN ANY OTHER VENUE ON THE TOPICS YOU ADDRESS IN THIS TESTIMONY?

A. Yes. I recently submitted testimony on behalf of the City in the Consolidated Edison Company of New York, Inc. ("Con Edison") 2019 gas rate case, Case 19-G-0066.

PURPOSE OF TESTIMONY

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. To respond to the pre-filed direct testimony of the New York State Department of Public Service Staff, or "Staff," Pipeline Safety Panel. My testimony is limited to the Panel's recommendations regarding Local Law No. 152 of 2016, or "Local Law 152," and its interaction with the inspection obligations of the Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corp. d/b/a National Grid ("KEDLI," and together with KEDNY, "National Grid" or the "Companies").

Q. ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?

A. Yes. I offer Exhibit__(AF-1), which contains reports dated April 12, 2016 and November 15, 2016, both which were issued by the New York City Council's Committee on Housing and Buildings, Infrastructure Division, that I relied upon in preparing my testimony; Exhibit__(AF-2), which contains copies of Introduction, or Int., No. 1088-2016, Int. No. 1088-A, and Local Law 152, as well

as the proposed language of 1 RCNY §103-10; and Exhibit__(AF-3), which contains the language of 16 NYCRR §255.3.

LOCAL LAW 152

Q. PLEASE PROVIDE A BRIEF OVERVIEW OF THE DEVELOPMENT OF LOCAL LAW 152.

A. The New York City Council introduced Local Law 152 as Int. No. 1088-2016 on February 24, 2016. The Committee on Housing and Buildings amended the legislation as Int. No. 1088-A on November 15, 2016 and the City Council approved it as amended on November 16, 2016. Mayor Bill de Blasio signed Local Law 152 into law on December 6, 2016; it is codified as Article 318 of Chapter 3 of Title 28 of the Administrative Code of the City of New York. Exhibit__(AF-2) contains copies of Int. No. 1088-2016, Int. No. 1088-A, and Local Law 152.

The City Council introduced Local Law 152 as part of a package of legislation with the goal of improving gas safety, responding to three major gas-related explosions that occurred in New York City during the preceding two years. Each of the three gas-related explosions that precipitated the legislation package tragically resulted in fatalities and injuries, as well as displacement of residents. As noted in the Committee on Housing and Buildings' April 12, 2016 Committee Report, which is attached hereto as Exhibit__(AF-1), the three explosions were the East Harlem Explosion, wherein two buildings at 1644 and 1646 Park Avenue collapsed on March 12, 2014; the East Village Explosion,

wherein one building was damaged and three buildings were destroyed as a result of an explosion at 121 Second Avenue on March 26, 2015; and, the Brooklyn Explosion, in which an explosion occurred at 4206 13th Avenue on October 3, 2015.

Effectively, the objective of Local Law 152 is to improve gas safety and avoid further tragedies by requiring building owners to inspect their buildings' gas piping systems.

Q. PLEASE DESCRIBE DOB'S RULE TO IMPLEMENT LOCAL LAW 152.

A. DOB regularly promulgates rules pursuant to local laws that authorize such rulemaking in accordance with the City Administrative Procedure Act, codified as Section 1041 *et seq.* of Chapter 45 of the New York City Charter. In doing so, the substance of DOB rules must comport with the legislative intent and text of the enabling local law and cannot exceed the limits the City Council imposed. On November 26, 2018, DOB published notice in the City Record of its proposal to add Section 103-10 to Title 1 of the Rules of the City of New York, or "RCNY," pursuant to Local Law 152. DOB held a public hearing and received comments on proposed 1 RCNY §103-10 on January 2, 2019. I note that the rulemaking is ongoing and no final rule has yet been adopted.

Pursuant to Local Law 152, the proposed 1 RCNY §103-10 is intended to promote public safety by requiring periodic inspections of gas piping systems in buildings and the correction of conditions identified by such inspections. Moreover, the proposed rule is intended to effectuate Article 318 of Chapter 3 of

Title 28 of the Administrative Code, which was added pursuant to Local Law 152, by clarifying procedural and substantive requirements associated with the law. In particular, proposed 1 RCNY §103-10 includes provisions that pertain to:

- the periodic inspection cycle schedule and inspection requirements;
- inspector qualifications for performing periodic inspections of gas piping systems;
- the required scope of inspection;
- reporting and certification requirements;
- requirements for reporting unsafe or hazardous conditions; and
- civil penalties for failure to file required certifications.

Q. PLEASE EXPLAIN THE DIFFERENCE BETWEEN THE CITY'S REQUIREMENTS WITH RESPECT TO SERVICE LINE INSPECTIONS AND THE COMPANIES' REQUIREMENTS AS GAS UTILITY COMPANIES.

A. On April 20, 2015, in Case 15-G-0244, entitled Order Establishing Statewide Inspection Schedules and Procedural Requirements, the Public Service Commission ("Commission") adopted a new definition of gas service line, thereby expanding the Commission's jurisdiction and adding two additional inspection requirements to the Operation and Maintenance programs of gas utility companies regulated by the Commission. On pages 1-2 of the Order, the Commission directed that following this change in definition, gas utility companies must complete "leakage surveys and atmospheric corrosion

inspections starting from a building's outside wall up to the outlet of the gas meter."

As provided in 16 NYCRR § 255.3(43), attached as Exhibit__(AF-3), the new definition of gas "service line" reads as follows:

> [T]he piping, including associated metering and pressure reducing appurtenances, that transports gas below grade from a main or transmission line to the outlet of the customer meter or at the connection to a customer's piping, whichever is further downstream where a meter is located within the building; if a meter is located outside the building, the service line will be deemed to terminate at the outset of the building foundation wall.

In contrast, Local Law 152 delineates the scope of gas piping systems inspections as follows: "At each inspection, […] all exposed gas lines from point of entry of gas piping into a building, including building service meters, up to individual tenant spaces shall be inspected […]." The legislative history of Local Law 152 shows that this language originated in Int. No. 1088 and remained unchanged in Int. No. 1088-A, and Mayor de Blasio signed it into law as Local Law 152. DOB's proposed 1 RCNY §103-10 incorporates this scope via reference to §28-318.3.2 of the Administrative Code.

Whereas Local Law 152 requires gas piping inspections of exposed gas lines from the point of entry into a building to individual tenant spaces, the Commission's inspection requirements set forth in 16 NYCRR § 255.3(43) cover piping "from a main or transmission line to the outlet of the customer meter or at

the connection to a customer's piping, whichever is further downstream where a meter is located within the building." Taken together, these two jurisdictional schemes result in three conceivable scenarios.

First, where a meter is located outside a building, National Grid must conduct its inspection through the meter and up to the meter's outlet; the building owner's licensed master plumber would be responsible for all piping from the point of entry from the meter and up to the tenant spaces.

Second, where a meter is located inside a building (for instance, the building's basement), National Grid would be responsible for inspecting all piping from the main/transmission line into the building, through the meter to the meter outlet; the building owner's licensed master plumber would be responsible for inspecting all piping from the point of entry into the building, through the meter and up to the tenant spaces.

Third, where a building contains meters only in individual tenant spaces, National Grid would be required to inspect all piping from the main/transmission line into the building, piping throughout the building, piping into and within individual tenant spaces up through the meter and up to the meter outlet; the building owner's licensed master plumber would be responsible for inspecting all piping from the point of entry into the building, and piping throughout the building up to the tenant spaces.

These three scenarios illustrate, except for buildings with exterior meter locations, that every building will have some length of piping subject to both

Local Law 152 and Commission-required inspections. It should be noted, however, that it is conceivable that there will be some buildings not subject to DOB's jurisdiction, such as Federal buildings, and, therefore may only be subject to Commission-required inspections. Although most buildings could be inspected twice, the inspections will not be "duplicative," as Staff suggests on page 77 of its Pipeline Safety Panel's direct testimony, as the Commission-required inspections do not cover customer piping downstream of the meter outlets. Two separate inspections may bolster safety in that one inspection may reveal conditions that were either missed by the other or arose between inspections.

Q. WHAT IS YOUR RESPONSE TO THE STAFF PIPELINE SAFETY PANEL'S CRITICISM THAT DOB'S RULE DOES NOT ALIGN WITH FEDERAL AND STATE OPERATOR QUALIFIED TRAINING AND QUALIFICATION STANDARDS?

A. Such criticism is misplaced. It appears that the criticism is motivated by an incorrect concern that if Local Law 152 inspections are not performed by operator qualified individuals, such inspections – and, presumably, such inspection data – will not be able to satisfy National Grid's obligations with respect to Commission-required inspections of service lines. Implicit in such criticism is the erroneous presumption that Local Law 152 inspections – paid for by building owners – ought to satisfy the Commission-mandated service line inspections, the responsibility for which the Commission determined properly belongs to National Grid.

The criticism regarding the lack of a requirement in proposed 1 RCNY §103-10 that inspection entities be operator qualified misses obvious foundational characteristics of Local Law 152 – the City is not trying to duplicate the Commission's requirement or relieve gas utility companies from their Commission mandates. Rather, the City is only requiring inspections of gas piping within DOB's jurisdiction and imposing qualification requirements consistent with the City's scope of inspections. The Staff Pipeline Safety Panel fails to appreciate the distinction between the Commission's and the City's jurisdiction.

In sum, it is inappropriate to suggest that the City and DOB ought to incorporate State and Federal operator qualification requirements. The operator is National Grid—not DOB, not the building owner, and not the master plumber retained by the building owner; and the Commission, not the City, is responsible for ensuring that National Grid uses personnel with the requisite operator qualifications.

Q. WHAT IS YOUR RESPONSE TO THE STAFF PIPELINE SAFETY PANEL'S CRITICISM THAT DOB'S PROPOSED RULE DOES NOT EXPLICITLY REQUIRE INSIDE INSPECTIONS FOR NATURAL GAS PIPING IN TENANT SPACES?

A. That criticism is misplaced insofar as it presupposes that DOB has the rulemaking authority to mandate inspections within tenant spaces. DOB's rulemaking authority is limited by the applicable statute or local law. In the context of Local

Law 152, the City Council did not provide authority to DOB to conduct inspections within tenant-owned spaces, and I offer no position on whether the City Council could do so legally.

The Staff Panel's suggestion that DOB's rule should include gas piping within individual tenant spaces suggests that the Panel did not understand Local Law 152, as the suggestion is inconsistent with the City Council's unambiguous intent in specifying—in both Int. No. 1088 and Int. No. 1088-A—that "all exposed gas lines from point of entry of gas piping into a building, including building service meters, up to individual tenant spaces shall be inspected …."

The Staff Pipeline Safety Panel further comments on page 78 of its pre-filed direct testimony that "[i]f the proposed rules do not require inspections within tenant spaces, the inside piping associated with meters inside apartments would not be inspected by the plumber and would require a separate inspection by the Companies." The concern raised here is similarly misplaced – Local Law 152 and proposed 1 RCNY §103-10 are not intended to supplant or facilitate the obligations the Commission imposed on National Grid. Moreover, as noted above, this statement also demonstrates the Panel's lack of understanding of the scope of Local Law 152. In addition, it should also be noted that the attempt to use the Local Law 152 inspection as a means of satisfying National Grid's inspection obligations with respect to the Commission, Staff is, in effect, attempting to disburden National Grid while placing the expense of Commission-imposed inspection duties on the building owner. Such an attempt is especially

misplaced in view of the Commission's recommendations, discussed below, on how National Grid can address its concerns about performing inspections within tenant spaces.

Q. HAS THE COMMISSION ADDRESSED THE INSPECTIONS WITHIN TENANT SPACES?

A. Yes. The Commission addressed the concern about access to tenant spaces at length in its Order Establishing Statewide Inspection Schedules and Procedural Requirements issued on April 20, 2017 in Case 15-G-0244. While the Commission acknowledged that gaining access to inside gas services is a challenge for National Grid in performing the required state inspections, it provided concrete guidance to National Grid on how to surmount this challenge. Specifically, on page 33 of the Order the Commission noted that, "[t]he easiest and most obvious first step for all LDCs is for each to develop safety-related inspection notices to leave at customers' premises, to include as bill inserts, or place on company websites."

Moreover, the Commission highlighted the fact that Public Service Law §65(9) provides National Grid the requisite legal authority to enter, at reasonable times, any building, room, or place supplied with gas for purposes of inspecting meters, pipes, and fittings used for supplying or regulating the supply of gas. Additionally, Public Service Law §65(9) allows National Grid to charge customers one hundred dollars if a customer prevents or hinders the gas utility company's officer/agent from entering the premises to make an inspection.

Lastly, the Commission ruled in the April 20 Order that under certain circumstances National Grid may disconnect service when a customer has paid the one hundred dollar fine but still refuses to provide access.

In sum, the concern the Staff Pipeline Safety Panel raised about Local Law 152 inspections stopping at individual tenant spaces appears out-of-place when viewed in light of the scope of Section 65 of the Public Service Law and the Commission's directives and recommendations to National Grid for gaining access to such spaces. The Commission – not Local Law 152 or DOB's proposed 1 RCNY §103-10 – requires National Grid to inspect individual tenant spaces where such spaces contain meters, and the Commission gave National Grid the means to do so.

Q. WHAT IS YOUR RESPONSE TO THE STAFF PIPELINE SAFETY PANEL'S CRITICISM THAT THE PROPOSED TIMEFRAMES FOR INSPECTION CYCLES IN DOB'S PROPOSED RULE DOES NOT ALIGN WITH NECESSARY FEDERAL AND STATE TIMELINES?

A. As the Panel acknowledged, Local Law 152 specifically provides DOB's commissioner with the discretion to modify the inspection frequency to be consistent with the cycle adopted by the Commission. However, that the proposed rule does not reflect the same cycle now is reasonable given that DOB is establishing the necessary operational processes to receive and track the required certifications of inspections that building owners must file with DOB. While the inspection frequency could be changed in the future, a longer frequency during

the initial rollout cycle allows DOB additional time to establish these operational processes.

Furthermore, from the perspective of building owners, a frequency of one year and three years for business districts and residential districts, respectively, would likely pose significant financial burdens on buildings owners. Tailoring inspection frequencies to align with National Grid's inspection frequency as mandated by the Commission may be more convenient for National Grid, but it could unfairly shift the expense of inspections from National Grid to building owners. Additionally, shorter frequencies of inspections could strain the stock of qualified plumbers available to perform the inspections required by Local Law 152 and the Commission. In view of these considerations, DOB has opted to refrain from exercising its discretion to align the Local Law 152 inspection frequency with the Commission's inspection frequency at this time. Upon completion of at least one full cycle of periodic inspections, DOB may revisit the inspection cycle.

Q. PLEASE DESCRIBE THE WAYS THAT THE CITY IS TRYING TO OPTIMIZE ITS WORK WITH THE GAS UTILITIES ON SERVICE LINE INSPECTIONS.

A. DOB has had numerous meetings with National Grid, Con Edison, and labor association representatives regarding DOB's proposed 1 RCNY §103-10 with the intent of understanding concerns of the gas utility companies and industry professionals. In an attempt to address these concerns, DOB has tried to optimize

1 RCNY §103-10 as it relates to the gas utilities' service line inspections in a number of ways. For instance, in its public comments on 1 RCNY §103-10, submitted together with Con Edison, National Grid urged DOB to change the scheduling of Local Law 152 inspections to an approach where the total number of buildings requiring inspection and associated workload is balanced, which it stated would help balance workforce demands and not overburden building owners who have multiple buildings in a single borough. In response, DOB has explored revising the rule's inspection schedule based on community districts rather than boroughs—and a way that, to the extent possible, evenly distributes amongst National Grid and Con Edison the number of buildings to be inspected each year. DOB scheduled a conference call with National Grid to hear its position on such revisions; however, the call was cancelled by National Grid and never rescheduled. DOB participated in a conference call with Con Edison to discuss revisions to the inspection schedule.

In its public comments, National Grid also urged DOB to change its rule to require the use of utility applications to capture corrosion and leak survey inspection work if the utility chooses to provide such a mobile application. While DOB will not be adding such a requirement to 1 RCNY §103-10, DOB is willing to share with the utilities the data elements of information required within the Local Law 152 inspection reports. DOB's intent here, in sharing such data elements, is to allow the utilities' use of mobile applications in a way that enables them to incorporate information contained in the Local Law 152 inspection

reports into their own Commission-mandated service line inspections. DOB has not received a request for such data elements from National Grid, but has provided such information in response to requests by Con Edison.

Q. DOES THIS CONCLUDE YOUR TESTIMONY AT THIS TIME?

A. Yes.